Lam Research Corp (LRCX): Hold, Valuation Concerns

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The etch and deposition leader at a euphoric multiple. At $264, the market prices in 33.8% revenue CAGR, nearly double our 17% bull case. Our DCF sees $152 base case, 42% downside.

HOLD	$152	$263.94	-42.4%
RATING	BASE TARGET	SPOT (10/16)	UPSIDE TO BASE

Hold, Valuation Concerns	$152	$264	-42.4%	$116 / $185	10.0%
RATING	BASE TARGET	SPOT (OCT 16, 2026)	UPSIDE TO BASE	BEAR / BULL TARGETS	LIVE WACC (AVG)

$330B	51.7%	$8.1B	1.50
MARKET CAP	Q4 GROSS MARGIN	Q1 FY27 REVENUE GUIDE	BETA (NORMALIZED)

Executive summary

We initiate coverage of Lam Research with a **Hold, Valuation Concerns** rating. Lam is the market leader in wafer fabrication equipment for etch and deposition, critical steps in 3D NAND and advanced logic manufacturing. Q4 FY2026 was a record: $6.72B revenue (up 30%), 51.7% gross margin, 37.4% operating margin.

The business is firing on all cylinders. The stock has run far ahead. Our six-year DCF (FY2026-2031) models 13.5% revenue CAGR in the base case, with EBIT margins expanding from 36.5% to 41.5%. Using live CAPM (1.50 normalized beta decaying to 1.20, 5.1% 10-year, 3.7% implied ERP), we get a 10.0% average WACC and a $152 base-case target, 42.4% below the $264 spot.

The reverse DCF is stark: at $264, the market implies 33.8% revenue CAGR, nearly double our 17% bull case. This is euphoric pricing.

> **Our read:** Lam's fundamentals are excellent, but the 33.8% implied CAGR is disconnected from the cyclicality of wafer fab equipment. Memory capex is strong today, yet the stock prices in a permanent supercycle. We see significant downside risk if WFE normalizes.

Base-case assumptions

INPUT	BEAR	BASE	BULL
FY2031 revenue ($B)	32	**45**	58

Revenue CAGR (6-yr)	8.0%	**13.5%**	17.0%
Terminal EBIT margin	38%	**41.5%**	45%
Terminal growth	3.5%	**3.5%**	3.5%
Target per share ($)	$116	**$152**	$185

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Bull case: $185 WFE SUPERCYCLE

WFE grows to $200B+ and Lam gains share in 3D NAND etch. Revenue reaches $58B by 2031 with 45% EBIT margins. Worth $185, still 30% below spot, showing how extreme current pricing is.

Bear case: $116 MEMORY DOWNTURN

Memory capex corrects, WFE falls to $120B. Revenue reaches only $32B by 2031. Worth $116, or 56% below spot.

Verdict

> **We rate LRCX Hold, Valuation Concerns.** We cannot recommend buying at $264 when our bull case is $185. The business is high quality, but the valuation demands perfection plus a permanent equipment supercycle. Avoid until a major correction.

What would change our mind

- **50% correction:** at $130-140, the risk/reward would turn favorable.
- **WFE supercycle:** sustained $180B+ WFE for 3+ years would support higher targets.
- **Share gains:** major etch share wins at leading-edge nodes.

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Key themes

1. WFE cycle strength ACCELERATING

2026 WFE guided to low $150B range, raised from $140B. Memory driving growth.

2. 3D NAND leadership STABLE

Lam dominates high-aspect-ratio etch for 3D NAND. Technology moat widening.

3. China exposure STABLE

Mature node sales to China offsetting leading-edge restrictions.

4. Operating leverage ACCELERATING

37.4% op margin in Q4, guiding to 39.5% in Q1. Mix shift to services.

5. Capital returns STABLE

Strong FCF generation funding buybacks and dividends.

Other KPIs

METRIC	VALUE
Market cap (at $264)	$330B
Q4 FY2026 revenue / YoY	$6.72B / +30%
Q4 gross margin	51.7%
Q4 operating margin	37.4%
FY2026 revenue	$23.2B
Q1 FY27 revenue guide	$8.1B (+/- $400M)
Net cash	$1.5B

Guidance

Q1 FY2027: Revenue $8.1B +/- $400M, operating margin 39.5%. **2026 WFE:** Low $150B range (raised from $140B). Next earnings October 21, 2026.

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Reverse DCF: what the market is pricing in

At $264, Lam carries a $330B market cap. Running the model's six-year framework in reverse, the market-implied revenue CAGR is **33.8%**, nearly double our 17% bull case. Verdict: euphoric.

SCENARIO	REVENUE	TARGET
Market-implied	~33.8% CAGR	**$264 (spot)**
Bull case	17.0% CAGR	**$185**
Base case	13.5% CAGR	**$152**
Bear case	8.0% CAGR	**$116**

Model

Full three-scenario DCF with live CAPM and implied-ERP tab:
https://docs.google.com/spreadsheets/d/1IZ46v0YM9Y-Nkn-8NdNWISXPGMFWt1g2cpha83nzAOk/edit

Risks to our Hold, Valuation Concerns

- WFE cyclicality: equipment orders can drop 30-40% in downturns.
- Memory capex concentration.
- China restrictions.
- Valuation compression from euphoric levels.

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